

Alternative Investments Update

Franklin K2 Athena Fund APIR: SSB0495AU

Atchison is implementing a single-line sale of the asset from the alternatives sleeve today (29/05/2025).

Departure of Paul Fryant from Franklin K2 Athena Fund

The departure of Paul Fryant from the Franklin K2 Athena Fund represents a material development for the strategy and its investors. Atchison regarded Fryant as the key man behind the fund's success, serving as both the figurehead and the critical driver of its complex, multi-strategy process. His deep understanding of the fund's philosophy and ability to manage its intricate framework were central to its long-term performance and stability.

The Franklin K2 Athena Fund is designed to deliver long-term capital appreciation with lower volatility than traditional equity markets and significantly lower correlation to mainstream asset classes. It achieves this by pursuing a broad range of risk premia strategies that seek to profit from persistent behavioural and structural anomalies across a diverse set of asset classes and market segments. These strategies include equity factors such as momentum and value, cross-asset relative value trades, rates and currency plays, as well as tactical positioning based on liquidity and market dynamics. The fund's approach relies on maintaining a diversified portfolio of long and short positions, often involving complex derivatives structures to dynamically manage exposures and risk. This multi-faceted investment framework demands a high level of expertise, rigorous risk control, and deep market insight.

Fryant's departure creates a significant gap in the management of this sophisticated process. His unique ability to integrate and oversee the fund's complex strategies will not be easy to replace. In the short term, it is likely that the fund will need to de-risk, reducing exposure to active bets, simplifying the portfolio structure, and increasing liquidity to mitigate potential performance volatility and operational risk. This transition period will require careful management to ensure stability.

Additionally, there is a risk that the Australian feeder fund could be closed. The feeder's viability depends on investor confidence and the perceived continuity of management and process. In recent times Fryant has been the spokesperson to the Australian market for the strategy and as such his departure may undermine this confidence, particularly if a replacement with equivalent capability and credibility is not found in a timely manner.

While the fund's quant-driven, multi-strategy framework provides a systematic foundation, it relied on Fryant's experienced oversight to manage complex market dynamics and refine positioning. His departure leaves a gap that may challenge the fund's ability to maintain its balance and performance consistency in the interim.